



INTERIM FINANCIAL STATEMENTS

30 SEPTEMBER 2017



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 30 September

		Three Months Ended 30 September 2017 Unaudited	Three Months Ended 30 September 2016 Unaudited
	Note	Rs	Rs
Revenue		<u>327,922,558</u>	<u>239,280,537</u>
Gross written premium	3	281,458,551	213,581,994
Premium ceded to reinsurers	3	<u>(675,846)</u>	<u>(6,937,399)</u>
Net written premium		280,782,705	206,644,594
Other Revenue			
Fee and Commission Income	3	5,246,399	1,438,752
Income from investments	5	40,765,949	29,243,529
Realise Gain	3	(514,386)	1,077,000.63
Other Income	3	<u>1,641,891</u>	<u>876,661</u>
Total Other revenue		47,139,852	32,635,943
Net Income		327,922,558	239,280,537
Net insurance benefits and claims paid		(30,091,836)	(14,900,913)
Net change in insurance claims outstanding		102,437	6,532,493
Underwriting and Net Acquisition Costs		(97,744,094)	(72,677,259)
Change in Contract Liabilities - Life Fund		(113,060,253)	(107,778,044)
Other operating and administrative expenses		<u>(73,170,739)</u>	<u>(38,480,052)</u>
Net benefits and claims		(313,964,484)	(227,303,775)
Profit/(Loss) before tax		<u>13,958,074</u>	<u>11,976,762</u>
Income tax expense		-	-
Profit/(Loss) for the Period		<u>13,958,074</u>	<u>11,976,762</u>

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 30 September

	Notes	Three Months Ended 30 September 2017 Unaudited Rs	Three Months Ended 30 September 2016 Unaudited Rs
Profit / (Loss) for the year		13,958,074	11,976,762
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(9,379,079)	5,761,840
Fair value movement of AFS reserve transferred to life fund		9,379,079	(5,761,840)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		13,958,074	11,976,762

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

		Nine Months Ended 30 September 2017 Unaudited Rs	Nine Months Ended 30 September 2016 Unaudited Rs
	<u>Note</u>		
Revenue		801,412,576	593,195,149
Gross written premium	3	689,733,962	526,906,948
Premium ceded to reinsurers	3	(19,984,794)	(18,376,314)
Net written premium		669,749,168	508,530,633
Other Revenue			
Fee and Commission Income	3	13,986,335	4,444,864
Income from investments	5	113,019,999	76,559,920
Realise Gain	3	783,488	1,077,001
Other Income	3	3,873,586	2,582,731
Total Other revenue		131,663,409	84,664,516
Net Income		801,412,576	593,195,149
Net insurance benefits and claims paid		(79,290,279)	(36,809,154)
Net change in insurance claims outstanding		(1,354,359)	548,757
Underwriting and Net Acquisition Costs		(247,406,478)	(152,966,008)
Change in Contract Liabilities - Life Fund		(263,197,236)	(269,438,630)
Other operating and administrative expenses		(172,474,372)	(100,239,136)
Net benefits and claims		(763,722,724)	(558,904,172)
Profit/(Loss) before tax		37,689,853	34,290,978
Income tax expense		-	-
Profit/(Loss) for the Period		37,689,853	34,290,978

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

		Nine Months Ended 30 September 2017 Unaudited Rs	Nine Months Ended 30 September 2016 Unaudited Rs
	Notes		
Profit / (Loss) for the year		37,689,853	34,290,978
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(16,609,043)	2,660,586
Fair value movement of AFS reserve transferred to life fund		16,609,043	(2,660,586)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		37,689,853	34,290,978

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 30 September 2017

		30-Sep-17 Unaudited Rs.	31-Dec-16 Audited Rs.
	Notes		
Assets			
Property, Plant and Equipment		45,261,341	21,850,521
Financial Assets	7	1,512,512,849	1,245,402,750
Loans to Life Policy Holders		143,558,485	111,675,715
Reinsurance Receivable		19,128,029	7,706,821
Premium Receivable		49,965,187	39,491,469
Other Assets		76,669,863	54,329,540
Cash and Cash Equivalents		71,111,704	106,504,318
Total Assets		1,918,207,458	1,586,961,135
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		90,342,709	79,145,018
Total Shareholders' Equity		765,907,579	754,709,888
Liabilities			
Insurance Provision - Life	8	1,005,854,135	726,047,856
Employee Benefit Obligation		5,459,268	4,608,990
Reinsurance Creditors		30,523,447	22,729,392
Amounts Due to Related Party	10	13,709,867	6,676,507
Financial Liabilities		76,126,590	54,461,564
Other liabilities		20,626,571	17,726,937
Total Liabilities		1,152,299,879	832,251,247
Total Liabilities and Shareholders' Equity		1,918,207,458	1,586,961,135

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

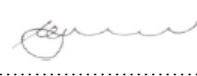


 Financial controller
 (Melanga A. Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (W.J. Viville P. Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

13 November 2017
 Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Nine Months Ended 30 September

	Notes	2017 Rs.	2016 Rs.
Operating activities			
Premium received from customers		658,113,726	560,422,101
Payment to ReInsurer		(11,612,489)	(11,609,185)
Claims paid		(69,302,619)	(35,192,576)
Cash received from Reinsurer		-	3,078,034
Payment to suppliers and others		(313,749,548)	(251,208,370)
Cash Inflow from Operating Activities		<u>263,449,070</u>	<u>265,490,003</u>
Tax Paid		<u>(7,584,420)</u>	<u>(6,272,296)</u>
Net Cash Flows from Operating Activities		<u>255,864,650</u>	<u>259,217,708</u>
Investing activities			
Purchase of property and equipment		(31,680,621)	(8,003,685)
Disposal of Property Plant and Equipment		-	-
Net drawdown of Investments		<u>(235,759,538)</u>	<u>(193,175,015)</u>
Net cash flows generated / (used) in investing activities		<u>(267,440,159)</u>	<u>(201,178,700)</u>
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Dividend payment		<u>(23,817,105)</u>	<u>-</u>
Net cash flows used in financing activities		<u>(23,817,105)</u>	<u>-</u>
Net (decrease)/increase in cash and cash equivalents		(35,392,614)	58,039,008
Cash and cash equivalents at 1 January		106,504,318	28,638,157
Cash and cash equivalents at 30 September		<u>71,111,704</u>	<u>86,677,165</u>
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		270,818	223,623
Cash at Bank		70,840,887	86,453,542
Short Term Investments		-	-
		<u>71,111,704</u>	<u>86,677,165</u>
Unfavourable Balances			
Bank Overdrafts		-	-
Total Cash and Cash Equivalents		<u>71,111,704</u>	<u>86,677,165</u>

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Nine Months Ended 30 September

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Balance as at 1 January 2016	675,564,870	-	(28,312,297)	647,252,573
Issue of share capital		-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	34,290,978	34,290,978
Un audited Balance as at 30 September 2016	675,564,870	-	5,978,681	681,543,551
Issue of share capital	-	-	-	-
Share Issue Expenses	-	-	-	-
Other Comprehensive Income	-	-	(431,855)	(431,855)
Net profit for the period	-	-	73,598,193	73,598,193
Audited Balance as at 31 December 2016	675,564,870	-	79,145,019	754,709,888
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	37,689,853	37,689,853
Dividend Declared			(26,492,163)	(26,492,163)
Un audited Balance as at 30 September 2017	675,564,870	-	90,342,709	765,907,578

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the period ended 30th September 2017 are provisional and unaudited.
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2016 have been followed in preparation of these Condensed Interim Financial Statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Nine Months Ended 30 September Unaudited 2017 Rs	Nine Months Ended 30 September Unaudited 2016 Rs	Three Months Ended 30 September Unaudited 2017 Rs	Three Months Ended 30 September Unaudited 2016 Rs
3. REVENUE					
	Notes				
Gross Written Premium	4(a)	689,733,962	526,906,948	281,458,551	213,581,994
Premium Ceded to Reinsurers	4(b)	(19,984,794)	(18,376,314)	(675,846)	(6,937,399)
Net Written Premium		669,749,168	508,530,633	280,782,705	206,644,594
Fees and commission income		13,986,335	4,444,864	5,246,399	1,438,752
Investment income		113,019,999	76,559,920	40,765,949	29,243,529
Other operating revenue		3,873,586	2,582,731	1,641,891	876,661
Realise Gain		783,488	1,077,001	(514,386)	1,077,001
Total Revenue		801,412,576	593,195,149	327,922,558	239,280,537
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
		Nine Months Ended 30 September Unaudited 2017 Rs	Nine Months Ended 30 September Unaudited 2016 Rs	Three Months Ended 30 Sep Unaudited 2017 Rs	Three Months Ended 30 Sep Unaudited 2016 Rs
Conventional Policies		689,733,962	526,906,948	281,458,551	213,581,994
Total gross written premiums		689,733,962	526,906,948	281,458,551	213,581,994
4 (b). Premiums ceded to reinsurers on insurance contracts					
		Nine Months Ended 30 September Unaudited 2017 Rs	Nine Months Ended 30 September Unaudited 2016 Rs	Three Months Ended 30 September Unaudited 2017 Rs	Three Months Ended 30 September Unaudited 2016 Rs
Conventional Policies		(19,984,794)	(18,376,314)	(675,846)	(6,937,399)
Total premiums ceded to reinsurers		(19,984,794)	(18,376,314)	(675,846)	(6,937,399)
Total net written premiums		669,749,168	508,530,633	280,782,705	206,644,594
5. INVESTMENT INCOME					
		Nine Months Ended 30 September Unaudited 2017 Rs	Nine Months Ended 30 September Unaudited 2016 Rs	Three Months Ended 30 September Unaudited 2017 Rs	Three Months Ended 30 September Unaudited 2016 Rs
Available-for-sale financial assets					
Interest income		52,212,428	41,832,768	17,821,416	17,065,229
Loans and receivables interest income		60,807,572	34,727,152	22,944,533	12,178,300
Total investment income		113,019,999	76,559,920	40,765,949	29,243,529

Arpico Insurance PLC

Notes to Interim Financial Statements

6. EARNINGS/(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Nine Months Ended 30 September Unaudited 2017 Rs	Nine Months Ended 30 September Unaudited 2016 Rs
Profit/(Loss) for the year	37,689,853	34,290,978
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.56	0.51

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	30-Sep-17 Unaudited Rs	31-Dec-16 Audited Rs
Loans and receivables	1,056,313,569	770,904,670
Available-for-sale financial assets	456,199,280	474,498,080
Total financial instruments	1,512,512,849	1,245,402,750

The following table consists of the fair values of the financial investments together with their carrying values.

	30-Sep-17 Carrying value Unaudited Rs	30-Sep-17 Fair value Unaudited Rs	31-Dec-16 Carrying value Audited Rs	31-Dec-16 Fair value Audited Rs
Loans and receivables	7 (a). 1,056,313,569	1,056,313,569	770,904,670	770,904,670
Available-for-sale financial assets	7 (b). 456,199,280	456,199,280	474,498,080	474,498,080
Total financial instruments	1,512,512,849	1,512,512,849	1,245,402,750	1,245,402,750

7 (a). Loans and receivables

	30-Sep-17 Unaudited Rs	31-Dec-16 Audited Rs
Investment in Corporate Debt	500,237,323	443,356,097
Investment in Fixed Deposit	261,033,098	216,592,508
Investment in Repos	335,043,148	150,956,065
	1,096,313,569	810,904,670
Provision for Impairment	(40,000,000)	(40,000,000)
	1,056,313,569	770,904,670

7 (b). Available for sale financial assets

	30-Sep-17 Unaudited Rs	31-Dec-16 Audited Rs
Investments in Government Securities	456,199,280	474,498,080
	456,199,280	474,498,080

Arpico Insurance PLC
Notes to Interim Financial Statements

8. INSURANCE CONTRACT LIABILITIES		30-Sep-17 Unaudited Rs	31-Dec-16 Audited Rs
Balance as at beginning			
Change in contract liabilities life fund		726,047,856	436,177,616
Increase in Life insurance fund before surplus transfer	8 (a)	263,197,236	350,207,532
Surplus transferred from share holders		-	(60,000,000)
Increase in Life insurance fund		263,197,236	290,207,532
Movement in AFS reserve transferred to life fund		16,609,043	(337,292)
Balance as at end of the Periods		1,005,854,135	726,047,856

8 (a) Increase in Life insurance fund before surplus transfer

2017 September (Unaudited)

	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	689,733,962	(19,984,794)	669,749,168
Liabilities paid for death, benefits and claims	(101,595,210)	20,950,572	(80,644,638)
Underwriting and Net Acquisition Costs	(247,406,478)		(247,406,478)
Fees (deducted)/received	17,859,921		17,859,921
Investment return	75,315,896		75,315,896
Realise Gain	783,488		783,488
Other operating and administrative expenses	(172,460,121)		(172,460,121)
As at 30 September 2017	262,231,458	965,778	263,197,236

2016 December (Audited)

	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	745,386,354	(24,436,905)	720,949,449
Liabilities paid for death, benefits and claims	(88,251,048)	9,252,901	(78,998,147)
Underwriting and Net Acquisition Costs	(214,224,769)		(214,224,769)
Fees (deducted)/received	11,043,207		11,043,207
Investment return	66,690,745		66,690,745
Realise Gain	(1,089,247)		(1,089,247)
Other operating and administrative expenses	(154,163,709)		(154,163,709)
As at 31 December 2016	365,391,534	(15,184,004)	350,207,532

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2016 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2016 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultant M/S Actuarial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provision of the Inland Revenue Act, No 10 of 2006 and subsequent amendment thereto. Life Insurance Business does not have an income tax expense so far.

Thus, no deferred tax assets is recognized in the financial Statements as it is not probable that the future taxable profit will be adequate to utilize the available tax losses fully in the foreseeable future.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	30-Sep-17 Unaudited Rs	31-Dec-16 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	(758,180)	6,075,173
Richard Pieris Distributors Limited	Affiliate	10,085,327	167,073
Arpitech (pvt) Ltd	Affiliate	869,776	421,582
Arpico Interiors (Pvt) Ltd	Affiliate	3,427,425	12,679
RPC Logistics (Pvt) Ltd	Affiliate	85,520	-
		<u>13,709,867</u>	<u>6,676,507</u>

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30th June 2017, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interrim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Nine months Ended 30 September

Share Information

Top 20 Shareholders

Name of the Shareholder	As at 30th September 2017	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO LTD	15,125,001	22.84
4 MR.J.P.PAUL	1,398,767	2.11
5 MR.C.S.N.SILVAPULLE	667,899	1.01
6 MR.H.V.SENAWEEERA	393,316	0.59
7 MR.S.SIVASHANTH	378,000	0.57
8 MR.A.P.ARUMUGAMPILLAI	311,000	0.47
9 MR.P.B.PERERA	300,021	0.45
10 MR.B.A.R.DISSANAYAKE	200,000	0.30
11 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	170,565	0.26
12 MR.R.ARIFEEN	165,479	0.25
13 PAN ASIA BANKING CORPORATION PLC/MR.S.GOBINATH	154,999	0.23
14 MRS.M.S.E.V.E.A.U.VON STUMM	150,000	0.23
15 DR.A.S.WIJENAYAKA	145,284	0.22
16 MR.C.A.ELANKAINESAN	145,284	0.22
17 MR.F.N.HERFT	143,811	0.22
18 MR.S.A.OBEYESEKERE	103,300	0.16
19 MRS.M.P.B.FERNANDO	100,000	0.15
20 SANDWAVE LIMITED	100,000	0.15
	<u>64,627,728</u>	<u>97.58</u>

Public Shareholding

	As at 30th September 2017	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shares	<u>6,630,404</u>	<u>10.01</u>
	As at 30th September 2017	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shareholders	<u>539</u>	<u>99.26</u>

Directors' Shareholdings

There is no share holding by the directors as at As at 30th September 2017

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 30th September 2017	11.6
Highest Price Per Share for the Interim Period	18.5
Lowest Price Per Share for the Interim Period	15.9
Last traded Price Per Share as at As at 30th September 2017	17.0